Building an Emergency Fund

An emergency fund is a stash of money set aside to cover the financial surprises life throws your way.

Why do you need it?
It prevents you from dipping into your long-term investments (like SIPs) or taking high-interest loans when an unexpected expense occurs.

How much should you save?
A standard rule of thumb is 3 to 6 months of your essential expenses. If your monthly 'Needs' are 30,000, your goal should be 90,000 to 1,80,000.

Where to park it?
1. High-yield Savings Account: Easy access.
2. Liquid Mutual Funds: Slightly better returns than savings accounts with high liquidity.
3. Sweep-in FDs: Offers the returns of an FD with the liquidity of a savings account.

Rule: This fund is for EMERGENCIES only. A flash sale on a smartphone is not an emergency.